

BUSINESS & CUSTOMER ANALYSIS REPORT

Executive Summary

- Total Revenue Generated: \$19.88 Million
- Total Orders Processed: 96,460
- Unique Customers Served: 93,341
- Average Order Value (AOV): \$206.09
- Key Focus Areas: Revenue Growth, Customer Behavior, Segmentation, CLV, and Retention
- Major Opportunity: Improving customer retention and repeat purchases

This project was conducted to evaluate business performance and customer behavior using the Olist e-commerce dataset. The objective was to transform raw transactional data into meaningful business insights that support data-driven decision-making and sustainable growth strategies.

The analysis revealed that the business generated approximately \$19.88 million in revenue from 96,460 completed orders. With 93,341 unique customers and an average order value of \$206.09, the company demonstrated strong sales performance and a healthy customer acquisition capability.

Revenue trend analysis highlighted noticeable seasonality throughout the year. Sales experienced strong growth during several months before declining in September and recovering toward the end of the year. Order volume followed a similar pattern, indicating that revenue fluctuations were largely driven by changes in customer demand rather than pricing differences.

Key business insights identified during the analysis include:

- Revenue growth was concentrated within a limited number of high-performing product categories.
- Customer spending patterns remained relatively stable across most periods.
- Certain geographic regions contributed significantly more revenue than others.
- Seller activity was heavily concentrated within a small number of locations.
- A small percentage of customers generated a disproportionately large share of total revenue.

Customer segmentation played a major role in understanding purchasing behavior. Customers were grouped based on spending patterns and purchasing activity, allowing the identification of high-value, medium-value, and low-value customer segments. This segmentation provides a foundation for targeted marketing campaigns and personalized customer engagement strategies.

RFM (Recency, Frequency, Monetary) analysis further enhanced customer understanding by identifying active customers, loyal buyers, and dormant customers who may benefit from re-engagement initiatives. The analysis also revealed a relatively low repeat purchase rate, suggesting that customer retention represents one of the largest growth opportunities for the business.

Customer Lifetime Value (CLV) analysis demonstrated that a small segment of customers contributes significantly more revenue than the average customer. Protecting and nurturing these high-value relationships can have a substantial impact on long-term profitability.

Key Recommendations

- Implement loyalty and rewards programs to increase repeat purchases.
- Develop personalized marketing campaigns for high-value customer segments.
- Prioritize inventory and promotional efforts within top-performing product categories.
- Create customer reactivation campaigns based on RFM segmentation.
- Expand operations in underrepresented regions to diversify revenue sources.
- Focus on improving customer lifetime value through cross-selling and upselling strategies.

Overall, the analysis demonstrates strong business performance and provides a clear roadmap for improving customer retention, increasing customer lifetime value, and driving sustainable revenue growth through data-driven decision-making.